1) Which of the following is not the characteristics of monopolistic competition?

a. Many number of sellers.
b. Free entry/exit.
c. The products firms offer are identical in nature.
d. Firm has market power

2) In short run, monopolistically competitive firm's behavior is very similar to monopoly.

a. True
b. False

3) Which of the following(s) is/are incorrect regarding monopolistically competitive firms?

a. Monopolistically competitive firm faces horizontal demand curve
b. Monopolistically competitive firm operates at the downward sloping part of ATC curve.
c. Monopolistically competitive firm charges price higher than its marginal cost.
d. Both (a) and (c).

4) The two types of imperfectly competitive markets are

a. Perfect competition and oligopoly.

b. Monopoly and Perfect competition.

c. Monopolistic competition and oligopoly

d. Only Monopoly is imperfectly competitive

5) A monopolistically competitive firm faces the following demand schedule for its product. In addition, the firm has total fixed costs equal to Rs7.

Price	Quantity
Rs12	1
Rs10	2
Rs8	3
Rs6	4
Rs4	5
Rs3	6
Rs2	7

If the firm has a constant marginal cost of Rs3 per unit, how many units should the firm produce to maximize profit?

a. 4 units
b. 3 units
c. 7 units
d. 5 units

6) Which of the following(s) is/are the examples of monopolistic competition.

a. Eggs
b. Fast-food
c. Night club
d. Both (b) and (c)

7) Choose the correct statement:

a. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the left and bringing down prices and ultimately profits to zero for all firms in the long run.

b. In monopolistic competition, if economic profit is positive in the short run, more firms enter the market shifting the supply curve to the right and bringing down prices and ultimately profits to zero for all firms in the long run.

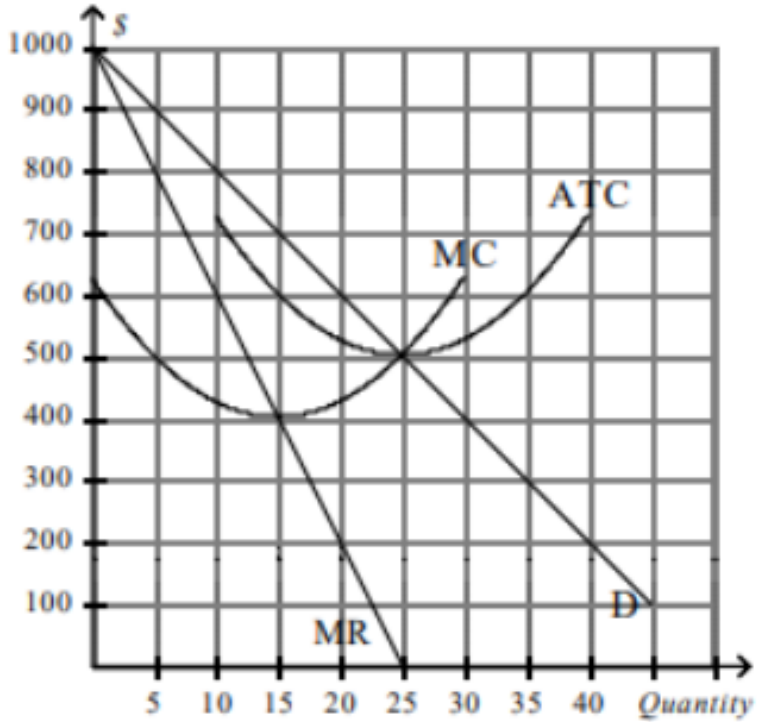
c. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the right and bringing up prices and ultimately profits to zero for all firms in the long run.

d. In monopolistic competition, if economic profit is negative in the short run, more firms exit the market shifting the supply curve to the left and bringing up prices and ultimately profits to zero for all firms in the long run.

8) In long run under monopolistic competition, entry/ exit of firms may occur until price=average total cost and earning positive economic profit.

a. True
b. False

9) Refer to the following figure. The firm in this figure is monopolistically competitive. It illustrates the firm earns a short run loss.



a. True
b. False

10) The reason(s) behind why monopolistic competitive firms are less efficient than perfect competition is/are

a. Produce less than cost minimizing output.
b. Operate on the downward sloping part of its ATC curve.
c. Charging a price equals to its marginal cost.
d. Both (a) and (b)